

PERSONAL FINANCIAL MANAGEMENT (165)

NATIONAL – 2019

Multiple Choice:

30 @ 2 points each

_____ (60 points)

Short-Answer:

25 @ 3 points each

_____ (75 points)

TOTAL POINTS

_____ (*135 points*)

Failure to adhere to any of the following rules will result in disqualification:

1. Contestant must hand in this test booklet and all printouts. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests or facsimile (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

No more than sixty (60) minutes testing time

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GENERAL INSTRUCTIONS

The number of decimal places used in calculations and in the reporting of your answers is very important. Below are guidelines to use as you complete this test. If a problem varies from these guidelines, it will be noted in the problem.

PERCENTAGE PROBLEMS

- Round to the nearest tenth when working with percentages.

Example: Use 2.3% NOT 2%

Example: An answer of .9638 should be written as 96.4%

INTEREST

- All interest rates are stated in one-year simple interest, *unless otherwise noted*.
- Interest is to be calculated on 360 days.

DOLLAR AMOUNTS

- All dollar amounts must be rounded to the second place (nearest cent).

Example: \$35.9765 to \$35.98

Multiple Choice

Identify the letter of the choice that best completes the statement or answers the question.

1. What retirement account would be offered to employees of a large corporation?
 - a. IRA
 - b. Roth IRA
 - c. 401(k)
 - d. 403(b)
2. The difference between the credit limit and the amount owed on a credit card is
 - a. the available credit.
 - b. the balance.
 - c. the minimum required payment.
 - d. the interest.
3. A general rule of thumb when you invest in corporate bonds is the _____ risky the company is to invest in, the _____ interest they will pay.
 - a. less, more
 - b. more, more
 - c. more, less
 - d. there is no correlation between risk and interest rates.
4. The maximum amount of money that a person has access to and can borrow from a bank is known as a
 - a. credit card.
 - b. line of credit.
 - c. credit report.
 - d. bank loan.
5. Which of the following taxes *includes* a cap on the annual earnings subject to tax?
 - a. Federal Income Tax
 - b. Capital Gains Tax
 - c. Medicare Tax
 - d. Social Security Tax
6. A _____ is an example of revolving credit.
 - a. student loan
 - b. car loan
 - c. home equity line of credit
 - d. savings account
7. Which person would *most likely* have a higher auto insurance premium?
 - a. 32-year old married female
 - b. 32-year old married male
 - c. 19-year old single female
 - d. 19-year old single male

8. A debt security that doesn't pay interest but is traded at a deep discount, rendering profit at maturity when redeemed for face value is known as a
 - a. municipal bond.
 - b. junk bond.
 - c. zero-coupon bond.
 - d. convertible bond.
9. Your broker, who charges a 2% fee on all transactions, buys 30 shares of a stock currently trading for \$26.85. How much will you pay for this investment?
 - a. \$805.50
 - b. \$807.50
 - c. \$821.61
 - d. \$966.60
10. One *advantage* a mutual fund has when compared to individual stocks is the
 - a. annual fees you are charged are lower.
 - b. ability to choose what stocks you invest in.
 - c. guarantee of a positive return on your investment.
 - d. diversification of your investment.
11. What does ARM stand for?
 - a. Adjustable-rate mortgage
 - b. Adjustable-rate maturity
 - c. Annual-rate mortgage
 - d. Annual-rate maturity
12. Which of the following is *not* a defined contribution retirement plan?
 - a. IRA
 - b. Pension
 - c. 401(k)
 - d. 403(b)
13. What *advantage* does preferred stock give a stockholder over common stock?
 - a. Voting rights
 - b. Management of the corporation
 - c. First right to dividends
 - d. Invitation to attend the annual shareholder meeting
14. _____ means earning interest on *not only* the principal but also on the interest already earned.
 - a. Simple
 - b. Compound
 - c. Maturity
 - d. Period

15. The *higher* your deductible on your car insurance, the
- less you will pay when you cause an accident.
 - more you will pay when you cause an accident.
 - less you will pay when you are hit by someone else.
 - more you will pay when you are hit by someone else.
16. Typically, on what day each year is your Federal Income Tax return due to be filed with the IRS?
- January 31
 - March 15
 - April 15
 - April 30
17. Your annual salary equals \$46,150. You elect a payroll deduction each biweekly pay period of 6% pretax to invest in a 401K program that also involves a 50% company match. How much will be invested each pay period into your 401K?
- \$ 53.25
 - \$106.50
 - \$159.75
 - \$887.50
18. What part of car insurance covers damage to a car caused by a storm?
- Comprehensive
 - Liability
 - Uninsured Motorist
 - Collision
19. What investment would be *best* to put funds in to use in case of an emergency?
- T-bill
 - Stock
 - Money market
 - Certificate of Deposit
20. A debt investment in which the investor loans money to an entity that borrows the funds for a defined period of time at a fixed interest rate is known as a
- stock.
 - mutual fund.
 - loan.
 - bond.
21. Taxes the government levies on the profit an individual realizes when they sell an asset are _____ taxes.
- capital gains
 - inheritance
 - dividend
 - income

22. What is a deferred load on a mutual fund?
- The commission paid when you purchase the fund.
 - The annual fee you pay at the end of each year you hold the fund.
 - The fee paid on the money your investment made for you.
 - The commission you pay when you sell your mutual fund.
23. Prices falling for an extended period of time on the stock market indicate a _____ market.
- bear
 - lion
 - horse
 - bull
24. A bond sold at a price below face value which returns to face value at maturity is called a _____ bond.
- premium
 - discount
 - treasury
 - coupon
25. When purchasing a zero-coupon bond with a maturity value of \$2,500, what price would you *most likely* be expected to pay?
- \$2,200
 - \$2,500
 - \$2,800
 - You can't purchase zero coupon bonds
26. What is the *highest* rating given to a bond?
- CCC
 - C
 - A
 - AAA
27. You purchase 30 shares of a stock @ \$68.25 on November 20, 2018. On April 4, 2019, you sell that shares @ \$71.89. What was the return on your investment?
- 3.6%
 - 5.1%
 - 5.3%
 - 12.1%
28. Qualified withdrawals from a Roth IRA are
- tax-free.
 - tax-deferred.
 - taxed monthly.
 - taxed annually.

29. You sign a 90-day, 4.25%, \$850 note on May 4, 2019. What is the maturity value of that note?
- a. \$850.00
 - b. \$854.25
 - c. \$859.03
 - d. \$890.31
30. What type of earned income will require you to use Form 1040 instead of Form 1040EZ for your tax return?
- a. Tips
 - b. Dividend
 - c. Interest
 - d. Wages

Short-Answer:

1. Roberto Sanchez has health insurance coverage that includes a \$1,000 deductible, a 80/20 coinsurance after the deductible, and an out-of-pocket maximum of \$5,000 annually. He incurs the following medical services for 2019:
- Annual physical in March, cost of \$125
 - Emergency room visit in June with tests, cost of \$2,400
 - Doctor visit in October, cost of \$315
 - Outpatient surgery in December, cost of \$3,275
- a. How much did Roberto pay for his annual physical? _____
 - b. How much did Roberto pay for his emergency room tests in June?

 - c. How much did the insurance company pay for his surgery in December?

 - d. Did Roberto reach his out-of-pocket maximum during 2019? _____
 - e. How much did Roberto pay in total for his 2019 medical services?

2. Trevor Immelman purchases a Treasury bill with a face value of \$5,000 for a purchase price of \$4,800. The T-bill will mature in 26 weeks.
- a. How much money will Trevor earn on his investment? _____
 - b. What is the discount yield on the T-bill? _____

3. Ashley Hartman's annual salary for 2018 was \$84,500. She receives a 4% raise for 2019. Ashley has 5% of her salary invested into a 401(k) program, and her company includes a 50% match each pay period. Ashley also is enrolled in her company's stock purchase plan where she invests 2% of her salary each pay period. Ashley has 22% of her salary deducted for taxes. She gets paid biweekly.
- What is Ashley's 2019 annual salary? _____
 - What is Ashley's 2019 contribution into her 401(k)? _____
 - How much does Ashley's company contribute toward her 401(k) each pay period in 2019? _____
 - Assuming her company's current stock price is \$27.15 per share, how many shares of stock would Ashley buy in one pay period? _____
 - How much in taxes are withheld each pay period in 2019? _____
 - What will Ashley's biweekly net pay be in 2019? _____
4. At the beginning of 2019, Nate Crosby buys into three investments:
- 100 shares of Dillon Inc stock @ \$42.80, plus a 2% broker's fee.
 - A 1-year, \$4,000, 3% CD that compounds interest quarterly.
 - A \$4,000 coupon bond, with a coupon rate of 4% payable semi-annually, for \$3,500.
- How much did Nate spend for his investment on the stock, including the broker's fee? _____
 - What was the total amount of money Nate spent on his investments?

 - Assuming the stock is worth \$45.20 at the end of 2019, how much money did Nate make on this investment, ignoring the broker's fee? _____
 - What was the percentage return on the stock during 2019? _____
 - How much interest did Nate earn on the CD during 2019? _____
 - What will the CD be worth upon maturity at the end of 2019? _____
 - If the bond was trading for \$3,250 at the end of 2019, what would be the current yield? _____
 - How much will Nate make in interest payments from the bond in 2019?

5. McKenzie Keen is a 21-year old full-time college student who works part-time as a server. During 2018 McKenzie earned \$5,450 in wages and an additional \$3,425 in tips. According to her Form W-2, McKenzie had \$575 in federal taxes withheld from her pay during 2018. McKenzie had a savings account that earned \$21 during 2018, and also invested in a CD that earned \$25 in interest for the year. For tax year 2018, the standard deduction equals \$6,500. McKenzie can be claimed by her parents.

- a. What was McKenzie's adjusted gross income for 2018? _____
- b. What was McKenzie's taxable income for 2018? _____

The tax brackets for 2018 showed the following:

Rate	Taxable Income Bracket	Tax Owed
10%	\$0 to \$9,525	10% of Taxable Income
12%	\$9,526 to \$38,700	\$952.50 plus 12% of the excess over \$9,525
22%	\$38,701 to \$82,500	\$4,453.50 plus 22% of the excess over \$38,700

- c. What was McKenzie's tax liability for 2018? _____
- d. What amount will McKenzie be refunded on her 2018 federal tax return?
